PLAN SUMMARY · KENYA

Protected deals for social commerce

Escrow and tracked delivery for vendors selling on WhatsApp and Instagram

Draft v0.3 · Owner: Founder · Planning aid, not legal or financial advice

AT A GLANCE

What

An escrow service for small social media vendors who sell on WhatsApp and Instagram. The buyer pays into a protected hold, the vendor ships, and money is released when the buyer confirms delivery, a timer expires, or a dispute is reviewed.

Why

Social commerce in Kenya runs on trust, and scams are very common. Buyers fear paying first, and honest vendors lose sales because of it.

CORE DECISIONS

Licensed partner holds the money

We never hold customer funds. We only instruct release or refund.

WhatsApp first

Buttons in chat, light mobile web pages. No native app at first.

Tracked delivery

Every deal carries a tracking reference, via our courier or the vendor’s own.

Humans decide disputes

Written criteria and an appeal step. AI assists, never decides.

Verified payments only

Only partner callbacks count. Screenshots and SMS never do.

One niche first

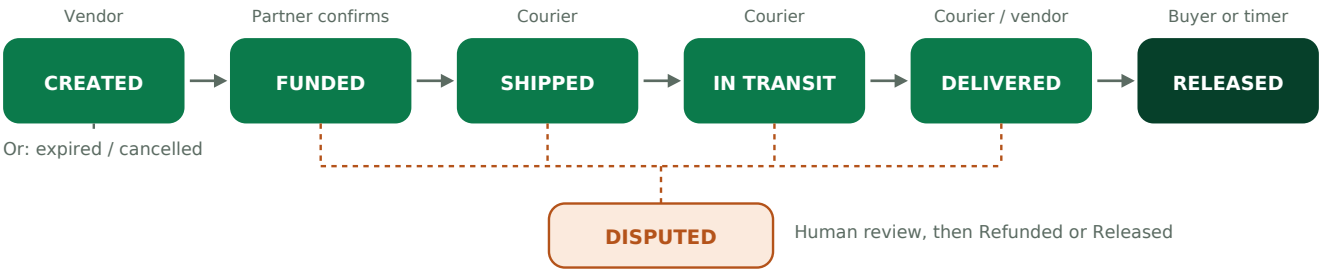
Prove the economics in Kenya, then expand region by region.

Legal note

Holding customer funds is a regulated activity under the Central Bank of Kenya. The plan is **partner first**, with a written legal opinion and written partner confirmation before launch. Every legal, licensing and compliance item must be confirmed with a Kenyan fintech lawyer.

HOW IT WORKS

A deal, from chat to payout



The buyer pays by M-Pesa STK Push through the licensed partner. A verified partner callback marks the deal **funded**. Courier-confirmed delivery is stronger evidence than a vendor's own claim and can shorten the auto-release window. Disputes pause the payout until a person decides.

THE PROBLEM

Why trust is the missing piece

Problem	Effect
Buyers pay strangers with no protection	Fear of scams reduces purchases
Vendors cannot prove they are trustworthy	Lost sales and price pressure
Fake M-Pesa messages and screenshots	Direct losses for vendors
Disputes are handled ad hoc in chats	Slow, unfair, and no records

WHO USES IT

Three audiences, three interfaces

User	Main interface	Also
Buyer	WhatsApp buttons and a pay link	No-login tracking page
Vendor	WhatsApp for actions	Mobile web dashboard
Admin / ops	Web admin dashboard	Alerts by chat or email

Design principles: tap-first with minimal typing, English and Swahili from day one, small fast pages for weak networks, plain language, and always say who holds the money. We never ask for an M-Pesa PIN.

SCOPE

What the MVP includes

In scope

- Deal creation by the vendor in chat
- M-Pesa payment via a licensed partner
- Shipping proof, buyer confirmation, auto-release
- Dispute flow and payout to vendor M-Pesa
- Tiered vendor KYC
- Admin dashboard and append-only ledger
- WhatsApp template notifications

Not yet

- Holding funds ourselves
- Native app or USSD
- Card payments
- Cross-border payments
- Automated dispute rulings
- Lending, wallets or stored value

BUSINESS MODEL

How it makes money

Stream	What it is	When
Escrow fee	Percentage of deal value with a minimum, charged to the vendor (to be validated in the pilot)	From launch
Delivery markup	Negotiated courier rate plus margin when we provide the courier	Phase 4
Protected delivery bundle	One price combining escrow and delivery	After both work
Vendor subscription	Lower fees, verified badge, statements, priority support	Later
COD facilitation, delivery insurance, analytics	Cash-on-delivery bridge into escrow, premium cover, vendor performance data	Later

Pricing rule: no price is fixed until the real cost lines are known: payment collection, M-Pesa payout, KYC, WhatsApp messaging, expected fraud loss and support time. Minimum fees keep small deals from losing money. Delivery revenue is layered on only after the escrow-only pilot proves vendors will pay.

DELIVERY

Two ways to deliver, one rule: always tracked

Platform courier

We bear the cost, built into pricing.
Courier webhook confirms delivery: the strongest evidence.
Liability negotiated with the courier partner.

Vendor's own courier

Vendor bears the cost and signs a Delivery Liability Agreement.
Tracking reference per deal; proof of delivery may be required.
On failure the buyer is refunded first, then the platform recovers from the vendor.

SAFETY

Trust and safety by design

Verified money movement

Only verified partner callbacks move a deal to funded.
Every callback and payout carries an idempotency key; webhook signatures are checked.

Tiered KYC

Tier 1: phone and OTP. Tier 2: national ID. Tier 3: business registration or KRA PIN.
Higher tiers get higher limits and shorter payout holds. Humans make final approvals.

Fair disputes

A trained reviewer decides using written criteria and an evidence checklist.
Both sides are heard, the reasoning is logged, and an appeal step exists.

AI that assists, never decides

Agents are read-only or draft-only, behind a gateway.
They can never release, refund, hold, ban or approve KYC. Users are told when it is AI.

Code matches the contract

The deal state machine is the single source of truth and mirrors the legal Terms.
Every transition writes an audit record.

Auditable ledger

Append-only, double-entry. Corrections are new offsetting entries.
Reconciled daily against the partner's reports.

TECHNOLOGY AND TEAM

Kept deliberately simple

Technology. Java 21 and Spring Boot as one **modular monolith** on PostgreSQL, with Redis for rate limits and sessions, and a database outbox instead of a message broker. Modules can be extracted into services later if volume demands it. Core logic is country-agnostic, with payment, KYC and messaging providers behind configuration, so a neighboring market is a configuration and legal exercise rather than a rewrite.

Team. A founder plus one operations and dispute hire, supported by an external lawyer, accountant and compliance advisor. Hiring order: ops and dispute lead, second developer, compliance officer (before any own-license application), then support agents as volume grows. The plan assumes **12 months of runway with zero revenue** (amount to be set).

ROADMAP

Six phases, validated before each next step

PHASE 0 weeks 1-4
Validate
20+ interviews, manual pilot with the founder as operator.

PHASE 1 months 1-3
Foundation
Company, lawyer opinion, partner signed, first legal drafts.

PHASE 2 months 2-5
MVP build
State machine, ledger, payments, messaging, pen test.

PHASE 3 months 5-9
Closed pilot
10-30 vendors in one niche. Measure cost per deal, disputes, fraud.

PHASE 4 months 9-18
Controlled growth
Subscriptions, AI support, **courier integration**.

PHASE 5 year 2+
Expansion
More niches, then one neighboring market.

RISKS

What could go wrong, and the answer

Risk	Mitigation
Regulatory classification changes	Partner-first model, lawyer opinion, early CBK conversation
Partner restricts escrow flows	Talk to several partners early; get written confirmation
Fraud and fake payment proof	Callbacks only, payout holds for new vendors, KYC tiers
Disputes overwhelm the team	Written SOPs, AI summaries for reviewers, dispute caps for new vendors
Thin margins	Minimum fees, higher-value niche, real cost tracking
Running out of runway	12 months of cover, lean spending, milestone-based hiring

DECISIONS PENDING

Open questions

- Which niche first: phones, fashion, beauty or electronics?
- Which payment partner, and will they confirm escrow-style holds in writing?
- Does the model need our own CBK authorization, and at what volume?
- Who pays the fee in the pilot: vendor, buyer or split?
- What auto-release period is fair per category?
- Which KYC provider, and what does each check cost?
- What is the runway target and funding plan?
- What tracking rule applies before delivery launches in Phase 4?

NEXT 30 DAYS

Immediate actions

#	Action
1	Run the manual pilot with about 10 vendors
2	Book a Kenyan fintech lawyer and bring the licensing question
3	Register the company; start Data Protection Commissioner and Meta verification
4	Get written answers from two payment partners on escrow-style flows and pricing
5	Draft the state machine spec and the escrow agreement side by side
6	Start the Spring Boot skeleton only after steps 2 and 4 give clarity